

Explore Microsoft Dynamics 365 Finance and Operations Together

Microsoft Dynamics 365

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Ledger Allocations in Microsoft Dynamics 365 Finance and Operations: Part-1

In this blog, I am going to write about ledger allocation which can be a useful tool for “Cost/Revenue allocation” from one-dimension combination to other dimension combination.

Ledger allocation can be used for scenario where user had accounted cost in specific “Main account and Financial Dimension “combination and now want to distribute or allocate to “Other financial dimensions” based on some allocation method. Here not only you can allocate amount from one-dimension combination to other, but you can allocate “Fixed external value “to different dimension combination based on specific rule.

Most common scenario in organization can be allocating “Expenses” incurred on “non-revenue generating financial dimensions” and distributing or allocating to “revenue generating financial dimensions”

Here I am going to take following scenario:

Scenario: User has recorded all selling cost amount for October 2020 in Main account ‘601200’ and in business unit “001” , now user want to allocate this cost “Selling cost 601200” of other business units 002 and 003 with fixed percentage “40% and 60%”.

So, that means system should post following allocation entry:

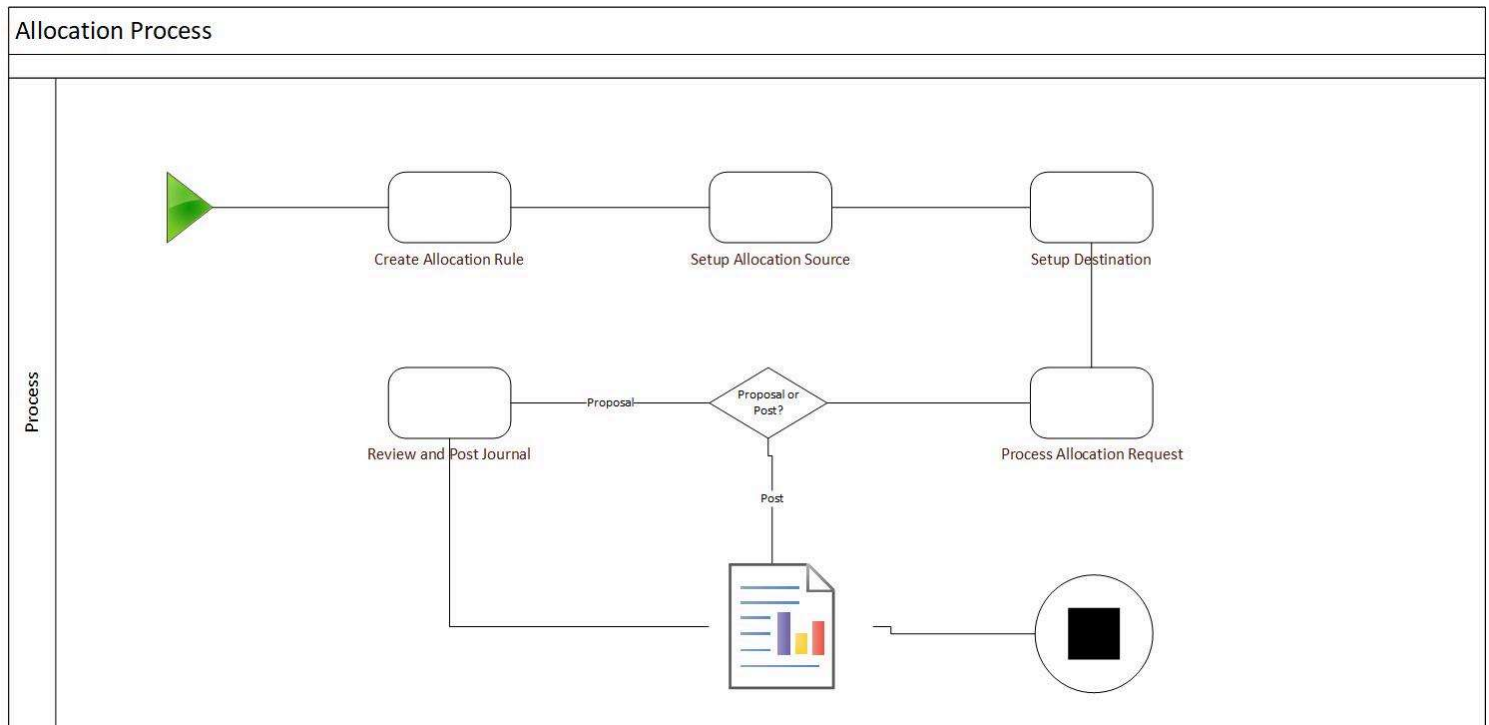
601200-002 Debit (4000)

601200-003 Debit (6000)

601200-001 Credit (10,000)

Now, lets see how we can achieve this in Dynamics 365:

Ledger allocation has two parts Setup and process.



Setup: This has three components to configure.

a. Allocation Rule

In Allocation rule we specify the identification, method of allocation, journal to be used etc....

Pre-requisites: Create a Journal Name of type "Allocation" and date interval code with "Current Month" setup.

Step-1: Create Rule

Navigate to, General Ledger > Allocations > Ledger Allocation Rule > New > Enter description and Active as yes

Save + New Delete Source Destination OPTIONS

Ledger allocation rule

Overview General Offset

✓ Rule ↑	Description	Effective date	Expiration date	Active
INMF-00001	Allocation rule -1	10/1/2020		☒

Specify the effective date of rule and make it active

Step-2: Select Allocation Method and Journal Name

Dynamics supports four allocation method, from which we are going to use fixed percentage in our scenario, I will explain “Basis” method in my next blog.

- **Basis** – This variable method is used when the allocation depends on the actual ledger balance, based on filter criteria. For example, advertising expenses can be allocated based on each department's sales in proportion to the total departmental sales.
- **Fixed percentage** and **Fixed weight** – For these methods, the allocation percentage or weight is defined directly for the rule. For example, advertising expenses can be allocated so that Department A receives 70 percent of the advertising expense and Department B receives 30 percent.
- **Equally** – This method distributes the amount equally to each defined destination. For example, if destinations are defined for Department A and Department B, advertising expenses can be allocated so that both Department A and Department B receive 50 percent of the advertising expense.

Save

New

Delete

Source

Destination

OPTIONS

Ledger allocation rule

Overview

General

Offset

IDENTIFICATION

Rule

INMF-00001

Description

Allocation rule -1

ADMINISTRATION

Effective date

10/1/2020

Expiration date

Active

Yes

Date last run

@GeneralLedger:AllowMainAcc...

No

Intercompany rule

No

Allocation method

Basis

Fixed percentage

Fixed weight

Equally

JOURNAL SETTINGS

Journal name

ALC

Description

Allocation Journals

SOURCE

Data source

Ledger

Fixed value

0.00

Mathematical operation

None

Amount

0.00

Date interval code

DESTINATION

Keep account from

User specified

Keep dimension from

User specified

Journal name for allocation entries

1. Basis method- Next blog

2. Fixed percentage when you want to allocate amount based on fixed percentage e.g. 30 % , 40% and 30%

3. Fixed weight same as percentage but weightage 0.4, 0.5 and 0.1

4. Equally

Step-3: Data Source

Select data source Ledger or fixed value, if Allocation amount must be derived from some ledger dimensions combination then select “Ledger” and if it is fixed value manually entered the select fixed value. In our scenario it is selling expense Main account so we will select “Ledger”

Save + New Delete Source Destination OPTIONS

Ledger allocation rule

Overview **General** Offset

IDENTIFICATION
Rule: INMF-00001
Description: Allocation rule -1

ADMINISTRATION
Effective date: 10/1/2020
Expiration date:
Active: Yes
Date last run:
@GeneralLedger:AllowMainAcc...: No

Intercompany rule: No
Allocation method: Fixed percentage

JOURNAL SETTINGS
Journal name: ALC
Description: Allocation Journals

SOURCE
Data source: Ledger
Ledger
Fixed value

DESTINATION
Keep account from: User specified
Keep dimension from: User specified

Mathematical operation: None
Amount: 0.00
Date interval code:

Select the source for system to allocate, it can be from set of ledger accounts or it can be fixed amount entered manually

Step-4: Date Interval Code

This is very important to select, if we want to allocate amount on monthly basis then date interval code should be selected as “Current Month” so that system consider only current month “Closing” without considering opening balance.

Save + New Delete Source Destination OPTIONS

Ledger allocation rule

Overview **General** Offset

IDENTIFICATION
Rule: INMF-00001
Description: Allocation rule -1

ADMINISTRATION
Effective date: 10/1/2020
Expiration date:
Active: Yes
Date last run:
@GeneralLedger:AllowMainAcc...: No

Intercompany rule: No
Allocation method: Fixed percentage

JOURNAL SETTINGS
Journal name: ALC
Description: Allocation Journals

SOURCE
Data source: Ledger
Fixed value: 0.00

DESTINATION
Keep account from: User specified
Keep dimension from: User specified

Mathematical operation: None
None
Multiply
Divide
CM

the amount e.g. if you want to allocate monthly closing balance then amount should be current month

Step-5: Select Offset account and dimensions

In this we have two options “User specified” and “Source”, this is the main account and financial dimension combination where “Credit” entry will be posted during allocation process.

“This component defines how main accounts and dimensions should be determined for the offset entries that balance the destination entries. User-defined options are typically used instead of accounts and dimensions that are based on the source. When **Data source** is set to **Fixed value**, **Source** can’t be used as an option.”

Note: If user want to keep the original amount in Main account and dimension and do not want to reverse then you can use new Main account as “Offset”, so that original dimension combination is not reversed completely.

Search for a page

Save + New Delete **Source** Destination OPTIONS

Ledger allocation rule

Overview General Offset

ACCOUNT
Offset account from
Source
Source
User specified

DIMENSION
Offset dimension from
Source

FINANCIAL DIMENSIONS

BusinessUnit
No default

Department
No default

Location
No default

This is the setup for offset account and offset dimensions for allocation entries that means lets say when you (allocate) cost from source Main account then which account should be credited , Sale Source main account from where amount is being allocated or user defined Main account? So accordingly we should choose this option.

The screenshot displays the 'Ledger allocation rule' configuration page. At the top, there is a navigation bar with 'Save', '+ New', 'Delete', 'Source', 'Destination', and 'OPTIONS'. Below this, the 'Ledger allocation rule' title is followed by three tabs: 'Overview', 'General', and 'Offset'. The 'Offset' tab is currently selected. The form is divided into two main sections: 'ACCOUNT' and 'DIMENSION'. Under 'ACCOUNT', there are two dropdowns for 'Offset account from' (both set to 'User specified') and one for 'Offset account' (set to '600150'). Under 'FINANCIAL DIMENSIONS', there are three rows, each with a dropdown and a text field: 'BusinessUnit' (dropdown '001', text field 'Home'), 'Department' (dropdown empty, text field 'No default'), and 'Location' (dropdown empty, text field 'No default').

b. Source

Source is the place where we define Main account and financial dimension combination of which “Amount” must be allocated, in our scenario we want to allocate selling expense of BU 001, so this will be source.

Save + New Delete Destination OPTIONS

LEDGER ALLOCATION RULE SOURCE | INMF-00001 : ALLOCATION RULE -1

Filter

Field setting	Name	Source criteria
Financial dimension	BusinessUnit	001
Main account		601200

This is the place where we define the source (if ledger has been selected in rule) from where system should calculate the amount to allocate. E.g. we want to allocate selling cost (601200) from BU (001) , so we will select this combination here

c. Destination

Destination is the place where we define the Main account and dimensions where the allocation amount will be posted based on defined method, here are "Debit" side of entry will be posted. In our example, we are posting in same main account selling expense but in different business units 002 and 003 based on 40 and 60 %.

Save + New Delete Source OPTIONS

LEDGER ALLOCATION RULE DESTINATION | INMF-00001 : ALLOCATION RULE -1

Company INMF

Fixed percentage 60.00 Percentage in total 40.00

Define percentage /weightage to be allocated , this should not exceed 100%

Destination ledger account

TO ACCOUNT

To account 601200

Ledger account Selling Expense

TO FINANCIAL DIMENSIONS

BusinessUnit 003 Management Consulting Pra...

Department No default

Location No default

Select the Main account to which you want to post allocated amount "Debit", you can post same as Source Main account or you can have different Main account as well, if you do not want to reverse the same Main account from source

Select financial dimension to which you want to allocate amount

This is the place where we select the Main account and dimensions to which we are going to allocate "Amount" from source. In our example we are going to allocate amount from selling expense (601200) and BU (001) to selling expense (601200) and BU (002 and 003)

Note: If require user can also post Debit in separate Main account instead using same Main account as source.

2. Allocation Process

Step-1: Check trial balance for required source

Accounting source explorer All transactions Fiscal year transactions By currency Period Cash flow forecasts Columns to display **OPTIONS**

PERSONALISE
Personalise this form
Add to workspace

PAGE OPTIONS
Security diagnostics
Advanced filter or sort
Record info

SHARE
Get a link
Create a custom alert
Manage my alerts

Operation completed

TRIAL BALANCE
Parameters
Filter

Trial Balance where selling expense has the value 10,000 with BU 001 , as per our setup system should allocate 6,000 (60%) to 002 and 4,000 (40%) to 003 BU with same Main account

MainAccount	BusinessUnit	Name	Opening bala...	Debit	Credit	Closing balan...
601200	001	Selling Expense-Home	0.00	10,000.00	0.00	10,000.00

Step-2: Process Allocation Request

Navigate to, General Ledger > Allocations > Process Allocation Request > Select required parameters > Click Ok

Process allocation request



Parameters **Select Allocation rule to be processed**



IDENTIFICATION

Rule

INMF-00001



Description

Allocation rule -1

Date last run

SELECTION CRITERIA

As at date

10/31/2020



Zero source

Process



Proposal options

Post only



Proposal only

Post only

POSTING

GL posting date

10/31/2020



Release date

Date on which allocation should be posted

REASON

Reason code



Reason comment

Date till which surce amount should be considered

Proposal means , system will create Journal and user has to post manually, Post means system will create and post both

OK

Cancel

Step-3: View and Post entries

Navigate to, General Ledger > Allocations > Allocation Journal > Lines

Save + New Delete Process allocation request **Lines** Open lines in Excel Validate Post Approval Print OPTIONS

Allocation journals

Show
Not posted ☐ Show user-created only

List General Setup Blocking Financial dimensions History

Journal bat...	Name	Description	Posted	Posted on	Log	I...	In use
INMF-00432	ALC	Allocation JOurna	☐		☐		

Auto created journal after processing

INMF-00432 : ALC

Journal voucher

Created Journal entry based on our setup

Overview General History

+ New Delete Voucher Budget check errors or warnings

Date	Voucher	Company	Account type	Account	Description	Debit	Credit	Currency	Exchange rate
10/31/2020	INMF-00433	INMF	Ledger	601200---002		4,000.00		INR	1.0000
10/31/2020	INMF-00433	INMF	Ledger	601200---003		6,000.00		INR	1.0000
10/31/2020	INMF-00433	INMF	Ledger	601200-001-022-001			10,000.00	INR	1.0000

In this journal system has created entries as per our expectation.

That is it for this blog, I will write the next part of this blog where I will explain the “Allocation method- Basis ” and “How Intercompany Allocations” can be processed.

Thank You!!! Keep reading sharing with your network

GENERAL LEDGER

ALLOCATIONS DYNAM

DYNAMICSNEWFEATURE



AMICS365

LOGGER

LEDGERALLOCATION

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As a recognized Microsoft Valuation Professional (MVP) , specializing in Microsoft Dynamics 365 Finance and Operations, I bring over a decade of diversified experience across multiple industries. Throughout my career, I have honed my skills in delivering innovative solutions and successfully navigating Dynamics 365 implementations. With a passion for sharing knowledge, I actively contribute to the Microsoft Dynamics community through insightful blogs and engaging YouTube content. By disseminating valuable insights, best practices, and real-world experiences, I have established myself as a trusted source within the community. Whether I'm immersed in hands-on projects or sharing insights online, my aim is to empower individuals and organizations with the necessary knowledge and skills to excel in the dynamic realm of Microsoft Dynamics 365 Finance and Operations. I invite you to join me on this rewarding journey of continuous learning and collaboration! [View all posts by Saurabh Bharti](#)

2 comments

Ledger Allocations in Microsoft Dynamics 365 Finance and Operations: Part-2 –

1. Explore Microsoft Dynamics 365 Finance and Operations Together

says:

OCTOBER 11, 2020 AT 1:04 PM

[...] <https://exploredynamics365.home.blog/2020/10/05/ledger-allocations-in-microsoft-dynamics-365-finance/#8230>; [...]

REPLY

2. Ariba says:

FEBRUARY 23, 2024 AT 9:57 PM

Informative blog. helped me alot to understand the process.

REPLY

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